

Hare 08 2022

Originator: Spandana Sphoorty Financial Limited

August 17, 2023

Instrument	Amount (₹ crore) [@]	Balance Tenure (months) [*]	Credit Enhancement (₹ crore)		Rating ¹	Rating Action
			Cash Collateral	Over Collateral		
Series A1 PTC	39.91	10	8.71	15.44	CARE AA- (SO)	Reaffirmed

[@]After June 2023 payout.^{*}Tenure/door-to-door maturity may change due to prepayments or changes in interest rates if any.**Rationale and key rating drivers**

CARE Ratings Limited (CARE Ratings) has reaffirmed the rating of the Series A1 PTC issued by Hare 08 2022, backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited (SSFL), at 'CARE AA- (SO)' (pronounced as Double A Minus [Structured Obligation]).

The reaffirmation in the rating is primarily based on the performance of the underlying loans over the past 10 months post-securitisation, the robust legal structure, the well-defined payment mechanism, the significant build-up in cash collateral (CC) and over collateral (OC) – as a percentage of the balance amount of pass-through certificates (PTCs), the subordination of excess interest spread (EIS), the servicing capability and overall performance of SSFL.

Rating sensitivities: Factors likely to lead to rating actions**Positive factors – Factors that could, individually or collectively, lead to positive rating action/upgrade:**

- Delinquencies (90+ DPD as a percentage of the initial principal outstanding [POS]) of <2% coupled with a sustained high collection efficiency (cumulative collection efficiency of >98%).
- Build-up of CC of more than 2x the initial proposed (as a percentage of the balance POS).

Negative factors – Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Non-adherence to the transaction structure.
- Delinquencies (90+ DPD as a percentage of the initial POS) of >5% coupled with a sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Sharp deterioration in the credit rating of the originator.

Analytical approach

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

The pool has amortised by 50.72% in nine months post-securitisation, with nil utilisation of the CC. The pool has exhibited low delinquencies. As on July 2023, the overdue (OD) (as a percentage of the initial POS) is 0.87%. The credit enhancement (CE) available is sufficient to sustain the ratings for the balance tenure.

Pool summary (as of July 2023 payout)	
Months post-securitisation	10
Pool amortisation	50.72%
30+ delinquency (percentage of the initial pool POS)	3.28%
90+ delinquency (percentage of the initial pool POS)	1.72%
Overdue amount (percentage of the initial pool POS)	0.87%
Cumulative CE [CCE]	98.20%
CC (percentage of the balance PTC POS)	21.81%
Cumulative prepayments	4.34%

¹Complete definitions of the ratings assigned are available at www.careedge.in and in other CARE Ratings Ltd's publications

Detailed description of the key rating drivers

Key strengths:

- CC as a percentage of the PTC POS is 21.81%, which remains unutilised, and OC, which is 38.70% of the PTC POS.
- The pool has performed on expected lines for 10 months (post-securitisation) and has amortised by 50%.
- Well-defined payment mechanism and adherence to the transaction structure.
- The OD as a percentage of the initial POS is low at 0.87%.

Key weakness:

- The profile of the borrowers is relatively weak, as they are susceptible to external shocks or socio-political disruptions.

Liquidity: Strong

The inherent liquidity in the structure is strong. The interest payouts for Series A1 PTCs are promised on a monthly basis, while the principal of Series A1 PTCs is promised to be paid by the final legal maturity. In case of any delinquency, the payouts are expected to be supported by CE consisting of CC, principal subordination in the form of OC, and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover the shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CARE Ratings has analysed the performance of the pool and the overall portfolio performance of the originator. Considering the borrower profile and nature of the loan, the pool characteristics and the portfolio performance, CARE Ratings has taken the average peak shortfall from 10% to 12% of the POS. The base case shortfalls were stressed along with other key factors such as the timing of shortfalls, the recovery assumptions, and the time to recovery. CARE Ratings has found that the CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating.

Applicable criteria

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

About the company and industry

Industry classification

Macro-Economic Indicator	Sector	Industry	Basic Industry
Financial Services	Financial Services	Finance	Securitisation

SSFL is primarily engaged in extending microfinance loans through the joint-liability group (JLG) model, primarily to borrowers belonging to low-income households. In 2003, the company was registered with the Reserve Bank of India (RBI) as a non-deposit taking non-banking finance company (NBFC-ND) and is currently registered under the new category of NBFC-microfinance institution (NBFC-MFI). The company went into corporate debt restructuring (CDR) post the Andhra Pradesh crisis in 2010 and exited the CDR in April 2017. SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Ltd (holding 9.46%). The new CEO, Shalabh Saxena, and CFO, Ashish Damani, have come from Bharat Financial. The positions of CTO, CBO and CXO were also filled thereafter by Kedaara Capital.

Key financial indicators – SSPL

Brief financials	FY21 (A)	FY22 (A)	FY23 (P)
Total income (₹ crore)	1,465	1,392	1,394
PAT (₹ crore)	1026	862	788
Interest coverage (times)	1.42	1.12	1.13
Total assets (₹ crore)	8,241	6,676	9,185
Net NPA (%)	3.27%	6.78%	0.58%
ROTA (%)	1.55%	0.68%	0.16%

A: Audited. Note: The above results are the latest financial results available; P: Provisional

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for the last three years: Please refer Annexure-2

Covenants of the rated instruments/facilities: Detailed explanation of the covenants of the rated instruments/facilities is given in Annexure-3

Complexity level of the various instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Pass-through certificates	22-09-2022	10.00%	17-03-2024	39.91	CARE AA- (SO)

Annexure-2: Rating history for the last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022	Date(s) and Rating(s) assigned in 2020-2021	Date(s) and Rating(s) assigned in 2019-2020
1.	Pass-through certificates	LT	39.91	CARE AA- (SO)	1) CARE AA- (SO) (22-Dec-22) 2) Provisional CARE AA- (SO) (30-Sep-22)	-	-	-

LT*: Long term.

Annexure-3: Detailed explanation of the covenants of the rated instruments/facilities

Not applicable

Annexure-4: Complexity level of the various instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on the complexity levels of the rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

Contact us

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About us:

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